

Δ	Claimed deductions			Net sales-tax revenue	
	Total	Input	Evasion	Base $ R_0 $	Base sales tax
-2%	1.29	0.17 [0.15, 0.20]	0.12 [0.10, 0.14]	$-6.19 [-7.02, -5.45]$	$-1.56 [-1.77, -1.38]$
-1.5%	1.31	0.18 [0.15, 0.20]	0.13 [0.10, 0.16]	$-6.23 [-6.98, -5.49]$	$-1.58 [-1.77, -1.39]$
-1%	1.32	0.18 [0.15, 0.21]	0.14 [0.12, 0.16]	$-6.32 [-7.16, -5.48]$	$-1.60 [-1.81, -1.38]$
$+1\%$	1.39	0.18 [0.15, 0.21]	0.21 [0.19, 0.23]	$-6.63 [-7.53, -5.81]$	$-1.68 [-1.91, -1.47]$
$+1.5\%$	1.40	0.18 [0.16, 0.21]	0.22 [0.20, 0.24]	$-6.71 [-7.51, -5.93]$	$-1.70 [-1.90, -1.50]$
$+2\%$	1.41	0.18 [0.15, 0.22]	0.23 [0.21, 0.24]	$-6.75 [-7.61, -5.94]$	$-1.71 [-1.93, -1.50]$

Arc elasticities with respect to the purchases rate, true materials responding, ELVIS interior firms; conservative 95% sets in brackets ($\chi^2_{18,.95} = 28.87$).

Claimed deductions: $[C(\Delta) - C(0)]/(\Delta C(0)) = 1$ (mechanical) + input response + evasion response; the total is the sum of the point estimates.

Net sales-tax revenue: $[R(\Delta) - R(0)]/(\Delta |R(0)|)$, with $R(0) = -391$ per firm-year, and $[R(\Delta) - R(0)]/(\Delta \bar{t}1)$, relative to the mean sales tax on sales (1,547 per firm-year). Baselines treated as known.